with India. This has also enabled China to enjoy the fruits of an increasingly globalized economy, by becoming part of extended supply chains for a whole range of products, including several sophisticated items.

During this period of learning, China adopted a generally modest posture towards the outside world, displaying a reluctance to challenge a dominant American global role. In multilateral fora, China was ready to cede a leadership role to India, whether it was at the WTO or in climate change negotiations. The guiding principle was encapsulated in a dictum popularly attributed to Deng Xiaoping, ‘Observe calmly, secure our position, cope with affairs calmly, hide our capacities and bide our time, be good at maintaining a low profile and never claim leadership.’

This low-key and cautious posture was generally in evidence up to 2007–2008, when the global financial and economic crisis erupted across the developed Western world, with its epicentre in the US. China played a key role in dealing with the crisis in two ways. One, it refrained from divesting the very large holding of US treasury securities it had accumulated as a result of running trade surpluses for several years. Its foreign exchange reserves, held mostly as US treasury securities, were nearly $3 trillion.

Secondly, China itself launched a large stimulus package of about $600 billion in order to stabilize its own economy, but coincidentally also to support global economic recovery. These actions greatly enhanced China’s international economic profile, and US officials began to speak of China as a key stakeholder in maintaining the international order, in particular the global financial order.

China also played host to the 2008 Summer Olympics in Beijing, and this too served as a coming-out party for China, much as the 1964 Tokyo Olympics marked the return of Japan as a successful modern power. The Beijing Olympics were a dazzling spectacle, and several world leaders were present to witness the extravaganza.

Within just a couple of years, China had raised its global profile dramatically, and this gave its leaders a sense of pride and confidence. In their book *Superpower Showdown*, Bob Davis and Lingling Wei refer to a conversation between Chinese Vice Premier Wang Qishan (now Vice